Practice workbook · Training: induction, on-the-job and off-the-job

Types of training, their purpose, benefits and limitations for the business and workers, and choosing between training methods.

15 question parts: 1 worked-example retry and 14 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S2-16

1. Question 1 · part f · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part f only.

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1 In 1971 *Starbucks* opened its first coffee shop in Seattle, Washington, US. Since then, it has experienced significant growth with more than 32,000 stores operating across 80 countries. It sells coffee and food products including cakes, biscuits and sandwiches. *Starbucks* has a mission 'To inspire and nurture the human spirit – one person, one cup and one neighbourhood at a time.'

Starbucks refers to its employees as 'partners' as they encourage people to support each other and work to achieve common goals. It offers the opportunity for partners to develop their skills and knowledge of the coffee shop market, by starting as baristas, then as coffee masters and finally as coffee shop managers.

(a) (i) Which **one** of the following is a secondary sector activity?

Select **one** answer.

(1)

- ☒ **A** Coal mining
- ☒ **B** Engineering
- ☒ **C** Farming
- ☒ **D** Insurance

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Selling assets
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Bank loan

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1. Question 1 · part f · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part f only.

Starbucks has special offers to encourage customers to purchase more coffee.

A latte usually costs $5.90 (US Dollars) and is now on special offer at $5.35.

(iii) Which **one** of the following is the percentage decrease in the price of a latte?

Select **one** answer.

(1)

- ☒ **A** 0.55%
- ☒ **B** 2.94%
- ☒ **C** 9.32%
- ☒ **D** 10.28%

(iv) Which **one** of the following is the minimum number of owners in a partnership?

Select **one** answer.

(1)

- ☒ **A** 1
- ☒ **B** 2
- ☒ **C** 20
- ☒ **D** 50

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An online book club charges its members £4.49 (GBP) a month.

The exchange rate is £1.00 to 92.09 Indian Rupees (INR).

(v) Which **one** of the following would be the monthly price in Rupees to be a member in India?

Select **one** answer.

(1)

- ☒ **A** 413.48
- ☒ **B** 1105.08
- ☒ **C** 4 134.84
- ☒ **D** 4 961.81

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1. Question 1 · part f · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part f only.

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(vi) Which **one** of the following is an external source of finance for managing immediate cash flow problems?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Overdraft

(b) Define the term **social enterprise**.

(1)

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(c) Define the term **tertiary sector**.

(1)

(d) State **one** reason why *Starbucks* wants to retain its employees.

(1)

1. Question 1 · part f · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part f only.

In 2022 the worldwide coffee shop industry had a total revenue of $165.70 billion.

It is estimated that by 2030 the percentage increase in total revenue is expected to be 38.25%.

(e) Calculate, to two decimal places, the estimated total revenue in 2030. You are advised to show your working.

(2)

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(f) Explain **one** disadvantage for a business of training its employees.

(3)

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1. Question 1 · part f · 3 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part f only.

Starbucks uses batch production to make its cakes and sandwiches.

(g) Analyse the benefits for *Starbucks* of using batch production.

(6)

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(Total for Question 1 = 20 marks)

1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.iv · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iv only.

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1 *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

(1)

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

(1)

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

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P 5 9 9 2 9 A 0 3 1 6

2. Question 1 · part a.iv · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iv only.

(iv) When a business employs a new member of staff, part of their induction training would include:

(1)

Select **one** answer.

- ☒ **A** Health and safety
- ☒ **B** Total Quality Management
- ☒ **C** Off-the-job training
- ☒ **D** Government schemes

Lavender buys 150 kilograms (kgs) of yeast from Germany at a cost of €2 250.

The exchange rate is €1 = 5 Malaysian Ringgits (MYR).

(v) How much does *Lavender* pay in MYR for the yeast?

(1)

Select **one** answer.

- ☒ **A** 750
- ☒ **B** 2 250
- ☒ **C** 11 250
- ☒ **D** 337 500

Lavender calculates the cost of the cakes it makes. The weekly fixed cost is 759 MYR. The variable cost per cake is 4.70 MYR.

(vi) Calculate the total cost of selling 1,650 cakes in a week.

(1)

Select **one** answer.

- ☒ **A** 2 413.70
- ☒ **B** 3 567.30
- ☒ **C** 7 755.00
- ☒ **D** 8 514.00

(b) Define the term **short-term finance**.

(1)

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2. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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3. Question 1 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

1 *Backyard Shoez* is a retail business located in Nairobi, Kenya. It sells a wide range of shoes, handbags and accessories for ladies only. *Backyard Shoez* has three shops in Nairobi. The shops are located in a busy shopping centre where there are other shoe shops.

(Source adapted from: https://backyardshoez.co.ke/)

(a) (i) Which **one** of the following is a method of secondary market research?

(1)

Select **one** answer.

- ☒ **A** Questionnaires
- ☒ **B** Government reports
- ☒ **C** Surveys
- ☒ **D** Focus groups

(ii) Which **one** of the following could be a financial objective for the owners of *Backyard Shoez*?

(1)

Select **one** answer.

- ☒ **A** Personal satisfaction
- ☒ **B** Increased production quality
- ☒ **C** Increased market share
- ☒ **D** Loyal employees

(iii) Which **one** of the following is an external source of finance for the owner of a business?

(1)

Select **one** answer.

- ☒ **A** Bank loan
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Selling assets

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3. Question 1 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

(iv) Which functional area would be responsible for quality control?

(1)

Select **one** answer.

- ☒ **A** Marketing
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Administration

In February 2018 *Backyard Shoez* imported 50 handbags from Italy. Each handbag cost them €20.

The exchange rate In February 2018 was €1 = 124.48 Kenyan Shillings (Ks).

(v) How much did *Backyard Shoez* have to pay in Kenyan Shillings for each handbag imported in February 2018?

(1)

Select **one** answer.

- ☒ **A** 2 489.60
- ☒ **B** 6 224.00
- ☒ **C** 24 896.00
- ☒ **D** 124 480.00

In September 2018 the exchange rate was €1 = 117.79 Ks.

(vi) What effect would this exchange rate have on *Backyard Shoez* if the cost of an imported handbag remained at €20?

(1)

Select **one** answer

- ☒ **A** Import costs would be unchanged
- ☒ **B** Net cash flow would improve
- ☒ **C** The price of the handbags in euros would rise
- ☒ **D** The cost of importing a handbag would fall

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3. Question 1 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

(b) Define the term **stakeholder**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** method *Backyard Shoez* could use for on-the-job training.

(1)

Figure 1 is an extract from the statement of Profit or Loss Account of Backyard Shoez.

	Ks
Revenue	570 000
Cost of goods sold	67 500
Direct labour	2 000
Total cost of sales	69 500
Gross profit	500 500

Figure 1

(e) Calculate the gross profit margin to 2 decimal places. You are advised to show your working.

(2)

.....%

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3. Question 1 · part d · 1 mark · Working and answer

Working and answer

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4. Question 2 · part b · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part b only.

2 *Backyard Shoez* is now planning to sell shoes to men and children as well as ladies.

(a) State **one** fringe benefit that *Backyard Shoez* can offer its employees.

(1)

(b) State **one** benefit to *Backyard Shoez* of using off-the-job training.

(1)

(c) Explain **one** reason why many businesses have a human resource functional area.

(3)

(d) Explain **one** method of above the line promotion a business could use.

(3)

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4. Question 2 · part b · 1 mark · Working and answer

Working and answer

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5. Question 1 · part d · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part d only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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5. Question 1 · part d · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part d only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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5. Question 1 · part d · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part d only.

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Figure 1 is a diagram of a product life cycle.

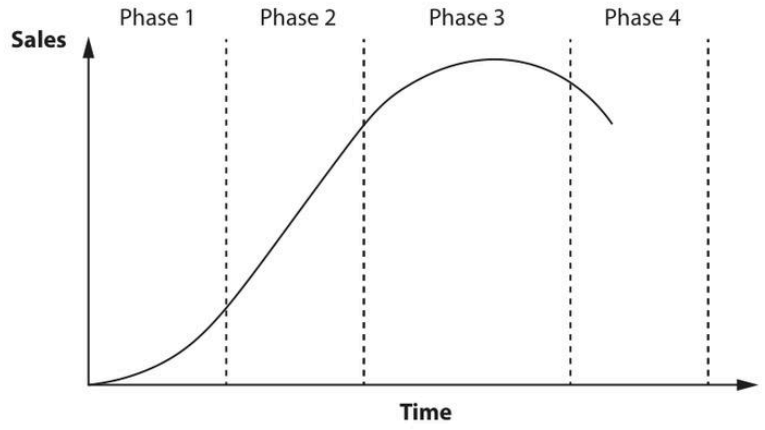


Figure 1

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(v) Which **one** of the following is Phase 3 of the product life cycle?

Select **one** answer.

(1)

- ☒ **A** Decline
- ☒ **B** Growth
- ☒ **C** Introduction
- ☒ **D** Maturity

(vi) Which **one** of the following are equal in a break-even graph?

Select **one** answer.

(1)

- ☒ **A** Fixed costs and variable costs
- ☒ **B** Fixed costs and revenue
- ☒ **C** Total costs and fixed costs
- ☒ **D** Total costs and revenue

5. Question 1 · part d · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part d only.

(b) Define the term **person specification**.

(1)

(c) Define the term **quality control**.

(1)

(d) State **one** reason why *IKEA* provides induction training for new employees.

(1)

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Figure 2 is an extract from *IKEA*'s Statement of Income for 2020.

	Euros (€) millions
Revenue	37 368
Cost of sales and services	25 643
Gross profit	11 725

Figure 2

(e) Calculate, to two decimal places, the gross profit margin for 2020. You are advised to show your working.

(2)

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5. Question 1 · part d · 1 mark · Working and answer

Working and answer

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6. Question 1 · part d · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part d only.

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1 Most people recognise Heinz for the phrase '57 varieties' even though it now produces many more than the original 57 varieties. H J Heinz, the founder of the Heinz business, believed the phrase sounded lucky.

Kraft Heinz is a world-wide producer of food products. It was formed from the merger of Kraft Foods and Heinz in 2015. This created the third largest food and drinks business in the USA and the fifth largest food and drinks business in the world.

Kraft Heinz has over 24 different brands, including Greenseas in Australia and Nutri+Plus in New Zealand. America has the largest number of brands from Maxwell House to Cool Whip. *Kraft Heinz* produces many different products including tomato sauce, 'Mac&Cheese', pasta and its famous baked beans that are used and eaten by many people.

Kraft Heinz uses many methods to advertise its products. These include posters, billboards and leaflets in supermarkets.

(a) (i) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Published government statistics
- ☒ **B** Magazine article
- ☒ **C** Internet research
- ☒ **D** Focus groups

(ii) Which **one** of the following is an example of external communication?

Select **one** answer.

(1)

- ☒ **A** A presentation by the chairperson to its employees
- ☒ **B** Sending a customer details of a special offer
- ☒ **C** A departmental meeting
- ☒ **D** Training sessions for new employees

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6. Question 1 · part d · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part d only.

On 13 September 2022 the share price of *Kraft Heinz* in America at 10.00 am was $36.55 and at 4.00 pm it was $35.06.

(iii) Which **one** of the following is the percentage decrease in the share price?

Select **one** answer.

(1)

- ☒ **A** 1.49%
- ☒ **B** 1.96%
- ☒ **C** 4.08%
- ☒ **D** 4.25%

Kraft Heinz uses price promotions to encourage customers to purchase more of its products. The price of a tin of baked beans in the US is $0.54. If 12 tins are purchased the price is reduced by 12.5%.

(iv) Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount?

Select **one** answer.

(1)

- ☒ **A** $5.67
- ☒ **B** $6.48
- ☒ **C** $56.25
- ☒ **D** $81.00

(v) Which **one** of the following would be a long-term source of finance for a sole trader?

Select **one** answer.

(1)

- ☒ **A** Trade credit
- ☒ **B** Overdraft
- ☒ **C** Personal savings
- ☒ **D** Share capital

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6. Question 1 · part d · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part d only.

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(vi) Which **one** of the following is the break-even point?

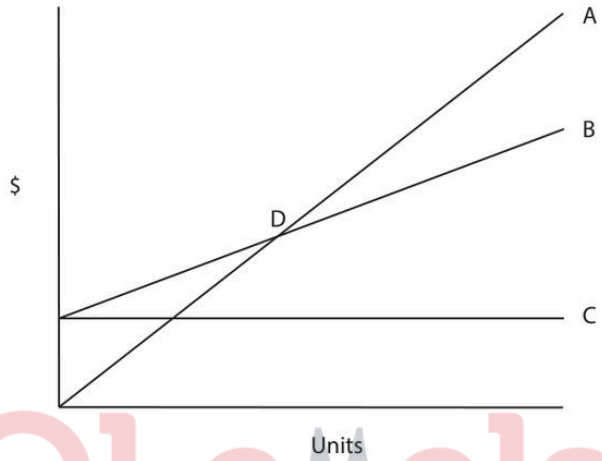


Figure 1

Select **one** answer. (1)

- ☒ **A**
- ☒ **B**
- ☒ **C**
- ☒ **D**

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6. Question 1 · part d · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part d only.

(b) Define the term **labour intensive production**.

(1)

(c) Define the term **trade bloc**.

(1)

(d) State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training.

(1)

In North America, a *Kraft Heinz* employee is paid a salary of $15 750. If employees reach their production target for 'Mac&Cheese' they receive a bonus of 14%.

(e) Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working.

(2)

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6. Question 1 · part d · 1 mark · Working and answer

Working and answer

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7. Question 2 · part d · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 *Cadbury* wants to appoint committed people who will become valued employees.

(a) State **one** item of information that an applicant might include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*.

(1)

(b) State **one** item of information that may appear in a job description for a *Cadbury* Production Line Supervisor.

(1)

(c) Explain **one** method a business could use to motivate its employees.

(3)

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7. Question 2 · part d · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(d) Explain **one** reason why a business has fully trained employees.

(3)

(e) Explain **one** reason why many manufacturing businesses use Kaizen in their factories.

(3)

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7. Question 2 · part d · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 4 · part b · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

4 *Tata Motor Company* employs over 60,000 employees around the world. In 2017 the turnover was $42 billion, with 9 million car sales. *Tata Motor Company* has 6,000 car showrooms around the world.

(a) Calculate the average number of vehicles sold in each car showroom. You are advised to show your workings.

(2)

(b) Analyse why *Tata Motor Company* ensures that its staff have a detailed induction programme.

(6)

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8. Question 4 · part b · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part b only.

Tata Motor Company is always looking to find the right location for its new factories.

(c) Evaluate the factors *Tata Motor Company* would have to take into account when making decisions about where to locate new factories. You should use the information provided as well as your own knowledge of business.

(12)

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8. Question 4 · part b · 6 marks · Working and answer

Working and answer

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9. Question 1 · part g · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part g only.

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1 (a) (i) Which **one** of the following sectors would a retail outlet operate in?

(1)

Select **one** answer.

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quarternary

(ii) Which **one** of the following would be used to select a group of applicants for interview?

(1)

Select **one** answer.

- ☒ **A** Training
- ☒ **B** Shortlisting
- ☒ **C** Marketing
- ☒ **D** Advertising

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9. Question 1 · part g · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part g only.

NEXT purchased 5,000 dresses from a Turkish manufacturer at 101.10 New Turkish Lira (TRY) per dress.

The exchange rate is £1.00 (GBP) = 6.74 (TRY)

(iii) Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses?

(1)

Select **one** answer.

☒ **A** 5 101

☒ **B** 5 674

☒ **C** 33 700

☒ **D** 75 000

(iv) Which **one** of the following describes Kaizen?

(1)

Select **one** answer.

☒ **A** Skilled manufacturing

☒ **B** Just-in-time (JIT)

☒ **C** Market orientated

☒ **D** Continuous improvement

Figure 1 shows the number of online customers using *NEXT* in 2017–2018.

	2017 Millions	2018 Millions
Online customers	4.7	4.9

Figure 1

(v) What is the percentage increase, to two decimal places, of online customers from 2017 to 2018?

(1)

Select **one** answer.

☒ **A** 2.00%

☒ **B** 4.08%

☒ **C** 4.26%

☒ **D** 4.70%

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9. Question 1 · part g · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part g only.

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(vi) Which **one** of the following is a benefit of buying a franchise?

(1)

Select **one** answer.

- ☒ **A** The franchisor provides training to the franchisee
- ☒ **B** A franchisee pays a lower rate of Value Added Tax (VAT)
- ☒ **C** The franchisor pays the franchisee to set up in business
- ☒ **D** A franchisee makes all his/her own decisions

(b) Define the term **delegation**.

(1)

(c) Define the term **venture capital**.

(1)

(d) State **one** reason why *NEXT* might use cost plus pricing.

(1)

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P 6 6 4 7 4 A 0 5 2 0

9. Question 1 · part g · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part g only.

NEXT predicts that its £727 million sales will grow by 3.2% next year.

(e) Calculate the predicted sales for next year. You are advised to show your working.

(2)

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(f) Explain **one** disadvantage for a business that does not achieve its predicted growth.

(3)

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9. Question 1 · part g · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part g only.

(g) Analyse the benefits to *NEXT* of training all its employees.

(6)

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(Total for Question 1 = 20 marks)

9. Question 1 · part g · 6 marks · Working and answer

Working and answer

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10. Question 4 · part b · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

4 *Artify Studio* is planning to open a second art studio in the small mining town of Sungai Lembing in Malaysia. It will recruit highly skilled employees to provide a high standard of service.

In order to advertise the opening of the second art studio, *Artify Studio* need to look at promotional cost.

It costs 459.50 MYR for 1,000 colour leaflets to be printed. The cost of delivery is 17.87 MYR per hour.

(a) Calculate the cost to *Artify Studio* of delivering 1,000 printed leaflets which will take 3 hours. You are advised to show your workings.

(2)

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10. Question 4 · part b · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

(b) Analyse the benefits for *Artify Studio* of on-the-job training for new employees.

(6)

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10. Question 4 · part b · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

(c) Evaluate the factors that *Artify Studio* would have considered when deciding where to locate its second art studio. You should use the information provided as well as your own knowledge of business.

(12)

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10. Question 4 · part b · 6 marks · Working and answer

Working and answer

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11. Question 3 · part d · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

3 *Huawei* constantly has to introduce new products to the market to keep up to date with its competitors. If it does not do this then there is the possibility that other businesses will succeed where *Huawei* will not.

(a) Define the term **revenue**.

(1)

(b) Outline **one** reason why *Huawei* would use robotics in the production of its products.

(2)

In 2018 *Huawei* took out a one-year loan for 69 941 000 000 Renminbi (CNY) from a bank. The bank charged interest of 4.5% on the loan.

(c) Calculate the interest *Huawei* would pay. You are advised to show your working.

(2)

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11. Question 3 · part d · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

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(d) Analyse why *Huawei* offers its new employees in the design department off-the job training.

(6)

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11. Question 3 · part d · 6 marks

2021 NOV · Paper 02

Further practice · Attempt part d only.

Huawei operates in a very competitive market. For any new smartphone it has to decide which pricing strategy it will use. For its next smartphone *Huawei* is considering two options:

Option 1: competition pricing

Option 2: promotional pricing.

(e) Justify which **one** of these two options *Huawei* should use when launching its new smartphone.

(9)

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11. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part d only.

3 (a) Define the term **span of control**.

(1)

.....

.....

.....

(b) Outline **one** way *Ocean Vibes* may promote its business.

(2)

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Figure 2 shows an extract from financial statements of a business in 2023.

	€
Gross profit	220 000
Operating expenses	160 000
Operating profit	60 000
Capital employed	80 000

Figure 2

(c) Calculate the return on capital employed (ROCE). You are advised to show your working.

(2)

..... %

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12. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part d only.

The owners of *Ocean Vibes* plan to recruit additional tour guides for the business.

(d) Analyse the advantages to *Ocean Vibes* of using on-the-job training for new workers.

(6)

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12. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part d only.

Ocean Vibes currently employs tour guides on a full-time basis.
Ocean Vibes pays a 5% commission fee to its sales team for each boat tour sold.

The owners of *Ocean Vibes* are considering two methods to increase their profit:

Option 1: employ part-time tour guides instead of full-time tour guides

Option 2: reduce the rate of commission paid to its sales team.

(e) Justify which **one** of these two options the owners of *Ocean Vibes* should choose to increase their profit.

(9)

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P 7 8 9 6 9 A 0 1 4 2 0

12. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

13. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

3 *LEGO* ensures its employees are fully prepared to carry out the tasks they are employed for. It looks after and encourages its employees to develop and improve their own skills.

(a) Define the term **delegation**.

(1)

(b) Outline **one** benefit to *LEGO* of being a privately-owned family business.

(2)

An employee working in the offices earns 150 000 DKK. In 2020 *LEGO* gave its employees a 4.5% pay increase.

(c) Calculate the employee's new salary. You are advised to show your working.

(2)

..... DKK

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13. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

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(d) Analyse how *LEGO* could use a Statement of Comprehensive Income when considering the development of new toys.

(6)

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13. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

Ensuring that all employees are fully trained is important to *LEGO*. *LEGO* makes sure that all employees are fully trained and skilled to carry out the work. All employees have induction training when they start at *LEGO*. Additional training is undertaken by employees as they progress through the business. *LEGO* is considering the following two options to carry out this additional training.

Option 1: on-the-job training

Option 2: off-the-job training.

(e) Justify which **one** of these two options *LEGO* should choose.

(9)

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13. Question 3 · part e · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

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13. Question 3 · part e · 9 marks · Working and answer

Working and answer

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14. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

3 (a) Define the term **fringe benefits**.

(1)

(b) Outline **one** way *Irsi Chocolatier* could keep customer loyalty.

(2)

Irsi Chocolatier has current assets of €26 000 and current liabilities of €14 852.

(c) Calculate, to two decimal places, the current ratio. You are advised to show your working.

(2)

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14. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

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Irsi Chocolatier will need to consider many factors if it wants to introduce its new product of chocolate lollipops.

(d) Analyse the limitations for *Irsi Chocolatier* of using break-even charts to decide whether it should sell the new product.

(6)

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14. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

Irsi Chocolatier is planning to expand its delivery service and opening hours. It is anticipating this will lead to an increased demand for its products. *Irsi Chocolatier* is looking to recruit and train one new employee and is considering two options:

Option 1: train the new employee on-the-job

Option 2: train the new employee off-the-job.

(e) Justify which **one** of these two options *Irsi Chocolatier* should choose.

(9)

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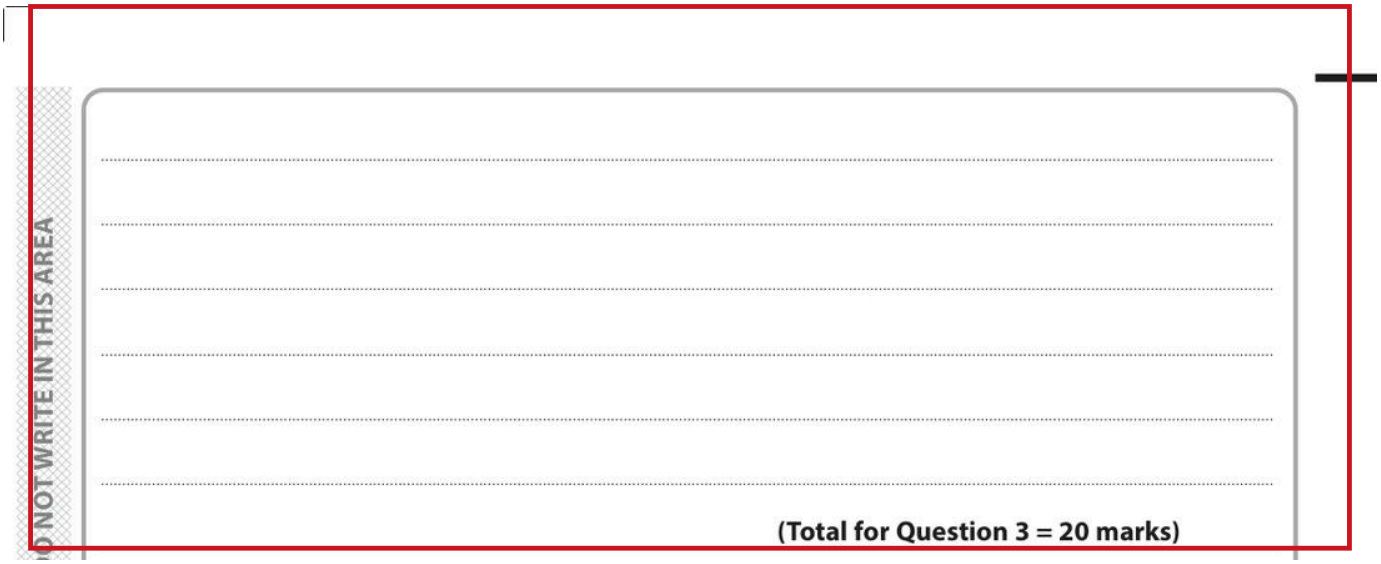
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14. Question 3 · part e · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.



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14. Question 3 · part e · 9 marks · Working and answer

Working and answer

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15. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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3 One aim of *Jimmy Choo's* is to ensure that all its employees are well motivated and fully trained to carry out the jobs they are employed to do. This is to reduce the number of employees leaving the business.

(a) Define the term **person specification**.

(1)

(b) Outline **one** reason why branding is important to *Jimmy Choo*.

(2)

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A *Jimmy Choo* handbag costs $1 590 (US dollars) to manufacture. It sells for $2 450.

(c) Calculate, to two decimal places, the percentage increase on this *Jimmy Choo* handbag when it is sold. You are advised to show your working.

(2)

..... %

15. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(d) Analyse why *Jimmy Choo* asks all candidates applying for a vacancy to complete an application form.

(6)

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15. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Jimmy Choo employs people in many countries to produce its shoes, handbags and perfume. To ensure that its new employees have the best start possible the following two training options are being considered:

Option 1: induction training

Option 2: off-the-job training.

(e) Justify which **one** of these two options *Jimmy Choo* should choose.

(9)

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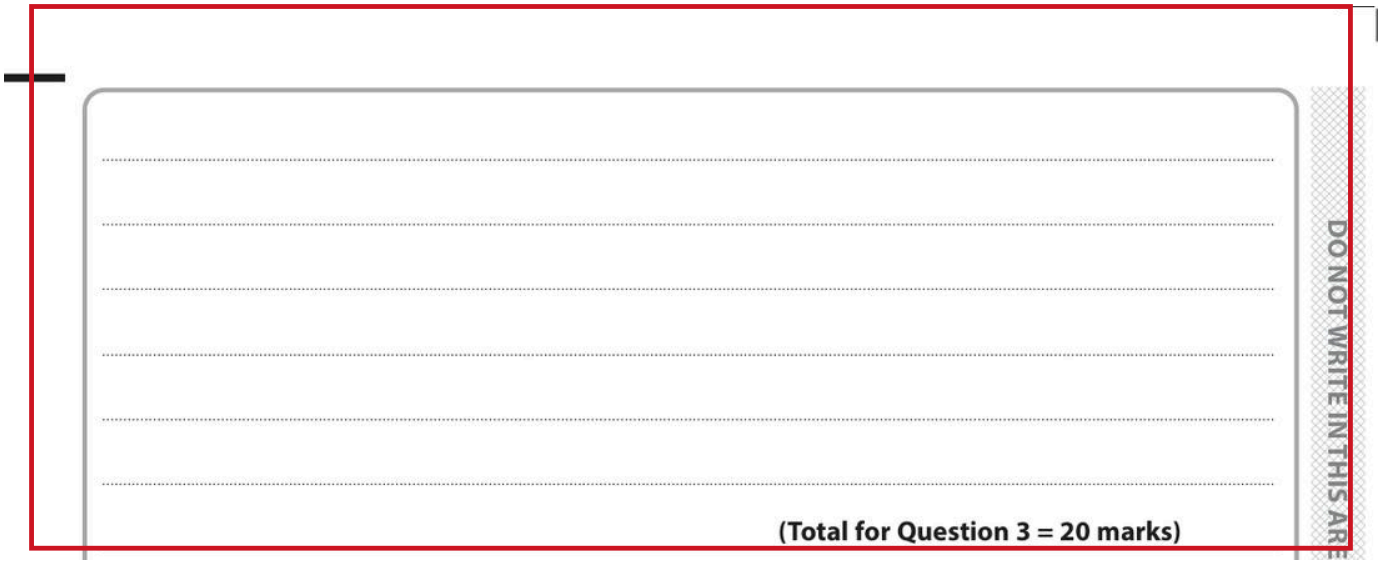
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15. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.



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15. Question 3 · part e · 9 marks · Working and answer

Working and answer

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